

Co-operative Bank 1H21 Earnings Note

Co-operative Bank's 1H21 net earnings rose 2.33% y/y to KES 7.37B**,** above our forecast of KES 6.3B**,** fueled by a 19.02% y/y increase in interest income, and 24.27% increase in NFI to KES 18.83B, despite a 122.97% y/y surge in loan loss provisions to KES 4.16B. Growth in NFI was mainly attributed to rising income from fees and commissions due to increased mobile lending activities.

- **Double digit growth in loans and advances:** The loan book grew 10.67% y/y to KES 301.19B, below our expectations of a 14% growth in net loans and advances, boosted by increased lending to households. Interest income grew 19.02% y/y to KES 25.96B boosted by growth in the loan book, and increased investment in government securities.
- **Double digit growth in operating expenses:** Total operating expenses grew 28.34% y/y to KES 18.70B driven by a 14.44% growth in other operating expenses. Monetary losses from South Sudan subsidiary was a major contributor to the increase in other operating expenses. Meanwhile, interest expense edged up 20.87% y/y to KES 7.13B, partly attributed to a 5.99% y/y uptick in customer deposits.
- **Asset quality deteriorates:** Gross NPLs increased 48.23% y/y to KES 50.85B, while NPL ratio stood at 14.6% in the review period, above an industry average of 14.0%. Loan loss provisions surged 122.97% y/y to KES 4.16B fueled by challenges imposed by the pandemic, and the repositioning of restructured loans to the normal loan book. We anticipate the continued recovery in the general economy coupled with the bank's diverse loan book to support an improvement in the bank's asset quality.
- **Subsidiary performance**: The various subsidiaries owned by the Group performed better in 1H21. Kingdom Bank Ltd, which reported a profit of KES 296.69Mn, is adequately capitalized and set to grow with no need for the Group to inject additional capital. However, the South Sudan unit recorded a loss of KES 290.08Mn due to the devaluation of the currency and the continued hyperinflation in the country.

Outlook

We expect the Group's profitability to edge up on the back of improving economic conditions. Loans and advances is expected to grow on the back of increased demand for loans on various sectors of the economy.

20th August 2021

Current price: KES 13.70

Target price: KES 14.99

Upside: 9.4%

52 Week High: KES 13.90

52 Week Low: KES 10.50



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Table 1 : Financial Statement Summary

Income Statement(KES Millions)	30-Jun-21	30-Jun-20	% change
Interest Income	25,960	21,811	19.02%
Interest Expense	7,128	5,897	20.87%
Net Interest Income	**18,832**	**15,914**	18.34%
Non Interest Income	10,324	8,307	24.27%
Total Operating Income	29,155	24,221	20.37%
Total Other Operating Expenses	(14,538)	(12,703)	14.44%
Loan Loss Provision Expense	(4,158)	(1,865)	122.97%
Operating Expense	(18,696)	(14,568)	28.34%
Profit before tax	**10,459**	**9,653**	8.35%
Tax	(3,159)	(2,401)	31.54%
Profit for the period	**7,366**	**7,198**	2.33%
Basic & Diluted EPS	1.26	1.23	2.44%
Gross NPL	50,846	34,301	48.23%

Balance Sheet (KES Millions)	30-Jun-21	30-Jun-20	% change
Cash with CBK.	27,887	66,603	-58.13%
Govt Securities - HTM.	82,620	70,877	16.57%
Govt Securities - Trading & AFS.	99,333	51,491	92.91%
Loans and Advances to Banks.	12,987	17,728	-26.74%
Loans and Advances to Customers.	301,191	272,157	10.67%
Total Assets	573,009	513,924	**11.50%**
Deposits from Customers.	407,686	384,637	5.99%
Deposits with other Banks.	4,260	5,188	-17.88%
Other Money Market Deposits	-	-	0.00%
Borrowed funds	44,428	25,637	73.30%
Balances due Intergroup	-	-	0.00%
Total Liabilities	**480,409**	**432,245**	**11.14%**
Total Shareholder Equity	**92,619**	**80,116**	**15.61%**

Source: Company filings, AIB-AXYS



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